SUPERIOR COURT OF THE STATE OF CALIFORNIA
IN AND FOR THE COUNTY OF SAN MATEO

Complex Law and Motion/CMC Calendar
HONORABLE MICHAEL L. MAU
1050 Mission Road, South San Francisco
Department 20, Courtroom L
August 14, 2026 at 2:00 PM

If you intend to appear on any case on this calendar, you must give notice by 4:00 pm the court day before the hearing pursuant to California Rules of Court, Rule 3.1308(a)(1), and San Mateo County L.R. 3.403(b).

Failure to comply with notice as outlined will result in no oral presentation.

Notice of Appearance and Courtesy Copies

1. **Email Dept20@SanMateoCourt.org before 4:00 pm the court day before with a copy to all parties or their counsel of record. The email must include the name of the case, the case number, and the name of the party contesting the tentative ruling OR call (650) 261-5120 before 4:00 pm the court day before and follow the instructions on the message.**
2. **Courtesy Copies: You must email a copy of any reply brief, or an Opposition to a Motion for Summary Judgment in an Unlawful Detainer matter to: LawAndMotionReplyBriefs@SanMateoCourt.org**

Day of Hearing

Appearances can be In Person or Remote. If appearing remotely by Zoom, please use your first and last name and mute your audio until your case is called. All parties must use a device with a camera if you are appearing remotely. Please login to the zoom hearing by 1:50 pm.

Remote Appearance Zoom Information

RECORDING OF A COURT PROCEEDING IS STRICTLY PROHIBITED.

https://sanmateocourt.zoomgov.com/ **Meeting ID:** 161 576 6143 **Password:** 142907

TO ASSIST THE COURT REPORTER, the parties are ORDERED to: (1) state their name each time they speak and only speak when directed by the Court; (2) not to interrupt the Court or anyone else; (3) speak slowly and clearly; (4) connect from a computer if at all possible, rather than a cell phone; (5) if a cell phone is absolutely necessary, the parties must be stationary and not driving or moving; (6) no speaker phones under any circumstances; (7) provide the name and citation of any cases referenced; and (8) spell all names, even common names.

Case	Title / Nature of Case
2:00 PM Line 1	
21-CIV-06029	JOHN SCHOLZ, III VS UNITED AIRLINES, INC., A DELAWARE CORP.,

JOHN R. SCHOLZ	JANE C MARIANI
UNITED AIRLINES, INC., A DELAWARE CORP.,	AMANDA C SOMMERFELD

Defendant's Motion for Summary Judgment or in the Alternative Summary Adjudication

TENTATIVE RULING:

This is a class action arising out of Defendant United Airlines, Inc.'s ("Defendant") sick leave and attendance policies.

Plaintiffs John R. Scholz, III and Kevin E. Bybee ("Plaintiffs"), who work as Technicians for Defendant, allege that Defendant violated the California "Kin Care Law," which permits employees to use a portion of their sick leave to care for family members with an illness. (Labor Code § 233.) Plaintiffs allege that Defendant auto-designates every use of sick leave as kin care leave until kin care leave is exhausted and disciplines Plaintiffs and similarly situated class members for using paid sick leave. (FAC, ¶¶ 2-4.) Plaintiffs raise four causes of action: (1) Kin Care Violations pursuant to Labor Code §§ 233 and 234; (2) Unfair Business Practices pursuant to Business and Professions Code §§ 17200, *et seq.*; (3) Declaratory relief under CCP §§ 1060, *et seq.*; and (4) PAGA Violations pursuant to Labor Code §§ 2698, *et seq.*. (FAC, ¶¶ 41-79.)

Defendant moves for summary judgment on the grounds that its sick leave plan is subject to the Employee Retirement Income Security Act of 1974 ("ERISA") and it is therefore exempt from compliance with California Kin Care Law.

The Court finds that Defendant's sick leave plan is an ERISA-covered plan, therefore it is exempt from complying with the Kin Care Law. Defendant's Motion for Summary Judgment is therefore GRANTED in full.

Renewed request to continue hearing is Denied

The Court begins by addressing Plaintiffs' renewed request to continue the hearing on this motion pursuant to Code of Civil Procedure ("CCP") Section 437c(h). Plaintiffs had previously requested continuance of the hearing via ex parte application, which the Court denied on July 20, 2026.

Plaintiffs contend that Defendant produced only four of six noticed fact witness declarants, and that deposition of the remaining declarants is essential to the preparation of Plaintiffs' opposition.

Plaintiffs' counsel Jane C. Mariani states in her declaration in support of the opposition motion that she has not had sufficient time to fully and fairly incorporate witness testimony into the opposition, and that Plaintiffs have been "severely prejudiced by this highly compressed time table." (Mariani Dec., ¶ 11.) These are the same arguments offered and rejected at the ex parte hearing.

The Court finds that continuance is not warranted under the circumstances.

This case was filed on November 5, 2021, and is only roughly three months short of the five year mark. There has been almost five years to conduct appropriate discovery for this case. "A good faith showing that further discovery is needed to oppose summary judgement requires some justification for why such discovery could not have been completed sooner." (*Braganza v. Albertson's LLC* (2021) 67 Cal. App. 5th 144, 156 [internal quotation marks omitted].) To begin with, Plaintiffs waited until a month after Defendant filed its motion for summary judgment to notice depositions. In opposition to the ex parte request for continuance, Defense counsel Amanda Sommerfeld stated in a declaration that Plaintiffs understood the relevance of four of the relevant fact witnesses as of 2022, but did not attempt to depose them until after Defendant filed its motion. (Sommerfeld Dec., ¶ 9.) Plaintiffs' counsel's purported "highly compressed time table" is therefore largely of her own making.

Defendant also presented evidence that it offered to produce one of the non-deposed fact witnesses on multiple dates, including two ahead of Plaintiffs' proposed schedule, but Plaintiffs' counsel did not accept that offer. (Sommerfeld Dec. ISO Opp. to Ex Parte App., ¶ 14.) As to the other fact witness, Defendant was unable to produce her due to her suffering from a serious health issue, but offered a substitute witness who held a senior role to the original witness and would speak to all the subjects addressed in the original witness's declaration. Plaintiffs' counsel again did not take Defendant up on the offer. (Id. at ¶ 15.) Plaintiffs and their counsel have failed to provide adequate justification for this failure to conduct discovery sooner or to accept alternatives to ensure that all potentially key witnesses could be deposed.

<u>*Trial court injunction in a similar case*</u>

San Francisco County Superior Court previously ruled on a claim similar to the one Plaintiffs now allege, only that claim was brought by pilots who worked for Defendant and the pilots' union. (See, *Air Line Pilots Ass'n, Intern. v. United Airlines*, 2010 WL 4135304 (Cal.Super.).) That court found that Defendant's sick leave plan in place at that time fell within the "payroll practice" exception from ERISA preemption and granted summary judgment in favor of the pilots and their union. As part of its ruling, that court issued an injunction, excerpted in relevant part here:

> 4. Defendant and its officers, employees and agents are permanently enjoined from denying its pilot employees who are members of the Air Line Pilots Association International the right to use paid sick leave to care for ill relatives in accordance with California Labor Code section 233.
>
> [. . .]

> 6. Nothing in the injunction bars Defendant from reforming the United Air Lines, Inc. Sick Leave Trust as a Voluntary Employee Beneficiary Association or other non-grantor trust or precludes Defendant based on such reformation from re-raising the issue of whether the Sick Leave Trust is a "bona fide separate trust."

(*Air Line Pilots Ass'n, Intern. v. United Airlines*, 2010 WL 4135304 (Cal.Super.).)

Plaintiffs argue that there is a genuine dispute of material fact as to whether Defendant is barred from claiming ERISA status based on this injunction. The Court disagrees on two grounds. First, as Defendant points out, the injunction enjoins "pilot employees," and Plaintiffs here are Technicians who bring their action on behalf of "Technicians and Other Related employees." (FAC, ¶ 1.) There is nothing to suggest that Plaintiffs intended or even could sue on behalf of pilot employees. Second, the injunction expressly states that Defendant is not barred from reforming its Sick Leave Trust as stated above. That is exactly what Defendant has done here.

ALPA Appeal and Decision

Following the S.F. County Superior Court's granting of summary judgment, Defendant appealed and the First District Court of Appeal took up the issue. (*Airline Pilots Assn. Internat. v. United Airlines, Inc*. (2014) 223 Cal. App. 4th 706 ("*ALPA*").) The Court of Appeal affirmed the trial court, also finding that the sick leave plan fell under the "payroll practice" exception from ERISA preemption. Both parties rely extensively on the *ALPA* decision; therefore it is discussed in detail here.

The Court of Appeal had before it the original, 1989 version of Defendant's former sick leave plan, as well a version that Defendant had amended in 2009. (*ALPA* at 710-711.)

The Court of Appeal first reviewed the characteristics of Defendant's sick leave plan (Plan) and sick leave trust (Trust) prior to the 2009 amendments. The court found that the pre-2009 trust expressly stated that it was a "grantor trust," a trust in which the assets are owned by the grantor. (Id. at 711, fn. 2.) Under the pre-2009 Plan, Defendant could cease contributions to the Trust, and if the Trust had insufficient funds, Defendant could use its discretion to prescribe rules for priority of payment. (Id. at 711.) Trust funds would not revert to Defendant unless Defendant terminated the Trust, in which case Trust assets exceeding the benefits to be paid would revert. (Ibid.) Pre-2009, the trustee had no duty to require contributions be made to the Trust or determine that contributions received were in compliance with the Plan. (Id. at 711-712.) Defendant used a funding policy that "used historical trends in sick leave usage to forecast the coming month's anticipated sick leave payments," then doubled the amount and added $1 million, but the formula was not in writing. (Id. at 712.)

Post-2009, the Trust provided that the trustee could enforce contribution obligations, and Defendant hired an actuary to develop a funding formula. (Ibid.) The Plan still allowed Defendant to cease making contributions, Defendant still maintained a reversionary interest upon termination and once all benefits were paid, and the Trust was a grantor trust with no change in its tax status. (Ibid.)

Under both Trusts, pilots received wage payments on the first and 16th of the month. (Ibid.) Sick leave benefits were paid to pilots along with regular pay from one of Defendant's payroll accounts. (Ibid.)

Defendant would transfer money from its main operating account to cover payments made out of its payroll accounts, and the Trust would transfer money to the main operating account sufficient to cover the month's sick leave liability. (Ibid.)

Pre-2009, the Trust generally transferred money for benefits a day or so before the benefits were paid out, but sometimes, Defendant would pay the benefits and later be reimbursed by the Trust. (Id. at 712-713.)

Post-2009, Defendant had to make its contribution to the Trust by the fifth of the month, and the Trust transferred money to Defendant before Defendant made sick leave payments. (Id. at 713.) Defendant retained interest earned on money from the Trust and used it to fund the next due payment. (Ibid.) When a pilot received sick leave pay and later received worker's compensation or disability payments, the pilot would have to turn over the worker's compensation or disability payment to Defendant, and that payment would not be credited to the Trust. (Ibid.)

Plaintiff pilots argued that the Plan did not fall under ERISA because it was an exempt payroll practice; was a mere pass-through and offered no genuine protection for sick leave benefits; and did not offer protection because as a grantor trust, it remained the property of Defendant and was subject to claims of its creditors. (Id. at 713-714.) The *Alpa* court agreed that Erisa preemption did not apply in that case. (Id. at 726).

The Court of Appeal's decision is further discussed in this ruling where relevant.

<u>Alaska Airlines Decision</u>

Both parties also refer frequently to a Ninth Circuit case in which Alaska Airlines, Inc. claimed that ERISA preempted the application of Oregon's parental leave laws to its sick leave policy. (*Alaska Airlines, Inc. v. Oregon Bureau of Labor* (9th Cir. 1977) 122 F.3d 812 ("*Alaska Airlines*").)

The Ninth Circuit provided the following overview of how Alaska Airlines' policy worked:

> Alaska Airlines employees are entitled to certain amounts of sick leave under their labor agreements. Alaska Airlines established a Welfare Plan for the payment of sick leave and other employee benefits. It created a trust to administer the Plan's payments. The trustees are Alaska Airlines employees.
>
> Alaska Airlines desired, however, to pay sick leave in the same check in which the employee received his or her regular pay. It therefore entered into a repayment agreement with the trust under which the airline became the Welfare Plan's agent "for the limited purpose of paying the Plan Benefits directly to the Participants at the same time and in the same manner as [Alaska Airlines] pays its obligations as they become due." Therefore, under the repayment agreement, the airline's employees do not receive their benefit payments directly from the trust. Instead, Alaska Airlines pays the benefits directly to employees from its general funds, and then seeks reimbursement from the trust. Thus sick leave pay is paid at the employee's regular rate of compensation in the pay check for the period when the leave is taken.

> At the end of each fiscal year, Alaska Airlines partially "prefunds" the trust, to the extent that the IRS allows, in order to shift tax deductions from one year to the next. The airline also periodically transfers money to the trust throughout the year. The airline then immediately begins removing that money on a monthly basis as reimbursement for the employee benefits that the airline pays. For example, in September 1994, the airline put approximately $7.5 million into the trust in an attempt to prefund benefit payments for the next three months. The airline then sought reimbursement from the trust for approximately $3.1 million that month. The trust's monthly balance therefore fluctuates greatly, but over time does not tend to increase. The airline's payments from its general assets for employee benefits have at times exceeded the trust fund's balance, and the fund sometimes contains less than $1,000.

(*Alaska Airlines* at 813.) Based on this policy, the Ninth Circuit concluded that Alaska Airlines' sick leave payments constituted payroll practice, reasoning that "[t]here is no doubt that the sick leave payments, which arrive in the same check as the employee's regular pay and compensate for sick days at the same rate as days worked, are payments of the employee's 'normal compensation' for sick time," and "the payments are made 'out of the employer's general assets.' " (Id. at 814.)

The court noted that under the policy in place, "[t]here [was] not clear relation between the amount of funds in the trust and the sick leave liability accrued by the airline's employees," and "[u]nder this scenario, the employee is relying on the financial health of Alaska Airlines, not that of the trust, for his or her regular sick leave payments." (Ibid.) The court also found that "[u]nder the repayment agreement, the airline's employees would still receive their benefits if the trust fund were mismanaged or held no assets, but they might not receive their benefits if the airline itself became insolvent." (Ibid.)

Overview of current sick leave plan

Following the Court of Appeal's decision in *ALPA*, Defendant formally terminated its prior plan and replaced it with a brand new plan. (SUF, ¶ 4; Lounsbery Dec., ¶¶ 9, 11, Ex. 6.) The new plan ("Plan") is governed by a formal document which by its terms is "designed to provide funded sick leave benefits to the employees . . . in the event of an employee's sickness." (Plan, Art. 1.1.) Benefits under the Plan are funded by the United Airlines Employee Sick Leave Trust ("Trust"). (SUF, ¶ 6; Plan, Art. 1.1; Trust, Arts. III-2, III-5.) The Plan holds itself out as a welfare plan under Section 3(1) of ERISA and files ERISA-required 5500 Forms. (SUF, ¶¶ 5, 21-22; Plan, Art. 1.1.)

Defendant states that it has restructured its Trust to hold funds separate from Defendant's general assets. The Trust is expressly declared to be irrevocable, and states that once Defendant contributes funds to the Trust, Defendant is no longer the legal owner of those assets. (SUF, ¶¶ 59-60; Trust, Arts. II-1, III-5(a); Plan, Arts. 8.1-8.2.) The Trust provides that its assets are not subject to the claims of Defendant's creditors, and that other than for mistake of fact, Defendant holds no reversionary interest in the Trust's assets. (SUF, ¶¶ 61-62; Trust, Arts. III-5, VI; Plan, Arts. 8.1-8.2.) The Trust's assets are held by the Northern Trust Company in a separate account in the name of the Trust, and Evercore Trust Company serves as Trustee. (SUF, ¶¶ 34, 66.)

The Plan and Trust both provide that the Trust shall pay all benefits under the Plan. (Plan, Art. 8.2; Trust, Art. III-2(a).) The Trust retained Defendant as the Trustee's agent to distribute sick leave payments. (Lounsbery Dec., Ex. 15; Trust, Art. III-2.) Plan assets pass through Defendant's general corporate account so that Defendant can withhold taxes, deferrals, and other deductions, but the Trust and Plan state that any funds transferred remain assets of the Plan until paid to employees or returned to the Trust. (MPA, p. 7:3-8; Trust, Art. III-2(b); Plan, Art. 8.2(b).)

When an employee is owed benefits, Defendant requests a transfer from the Trust to fund the payment. (SUF, ¶¶ 50-54.) On Sunday and Tuesday nights, "the systems calculate the exact amount of Sick Pay taken during the pay period that must be included in the employee's next paycheck." (SUF, ¶ 50.) The next day, the Trust transfers the funds to Defendant's bank account for deductions, then Defendant transfers the funds to one of its payroll accounts, then to the employee's bank account "at the same time as other wages and other payment owed to the employee during the payroll cycle." (MPA, p. 7:18-24; SUF, ¶¶ 54-56; Santa Cruz Dec., ¶¶ 3, 6.) Defendant states that the funds remain in Defendant's main account for no more than three days. (MPA, p. 7:24-26; SUF ¶ 57.)

<u>*ERISA-covered plan*</u>

29 U.S.C. § 1002 defines an ERISA-covered plan as:

> The terms "employee welfare benefit plan" and "welfare plan" mean any plan, fund, or program which was heretofore or is hereafter established or maintained by an employer or by an employee organization, or by both, to the extent that such plan, fund, or program was established or is maintained for the purpose of providing for its participants or their beneficiaries, through the purchase of insurance or otherwise, (A) medical, surgical, or hospital care or benefits, or benefits in the event of sickness, accident, disability, death or unemployment, or vacation benefits, apprenticeship or other training programs, or day care centers, scholarship funds, or prepaid legal services, or (B) any benefit described in section 186(c) of this title (other than pensions on retirement or death, and insurance to provide such pensions).

As the *ALPA* court pointed out, "[t]he act does not further define 'plan, fund, or program' or 'benefits in the event of sickness' and does not specify whether every policy to provide benefits in the event of sickness falls within its ambit." (*ALPA* at 715.) Nevertheless, the court found that "the Plan falls squarely within ERISA's definition of an employee welfare benefit plan, because it was established by an employer (United) to provide employees with certain welfare benefits, including sick leave pay." (*ALPA* at 715.) The court further found that "there is no serious dispute that the sick leave plan is governed by formal plan documents, administered by a third-party claims administrator, provides for comprehensive administrative procedures for filing and adjudicating claims, and is otherwise held out as an ERISA plan." (Ibid.)

Plaintiffs have not provided any evidence for this court to find any differently as to the current Plan.

Looking at the factors set forth by Plaintiffs' cited case of *Donovan v. Dillingham* (11th Cir. 1982) 688 F.2d 1367, 1373–74, the Plan here has met all of them. *Dillingham* states that the reality of an ERISA-covered plan depends on "whether from the surrounding circumstances a reasonable person could ascertain the intended benefits, beneficiaries, source of financing, and procedures for receiving benefits." Here, the Plan's first page sets out clearly most of these factors:

> This Plan is designed to provide funded sick leave benefits to the employees of the Company and any other affiliate of the Company that has adopted this Plan with the consent of the Company in the event of an employee's Sickness. Benefits under the Plan are funded by the United Airlines Employee Sick Leave Trust, rather than from the general assets of the Company. This Plan and the Welfare Plan of which it is a part constitute a "welfare plan" within the meaning of Section 3(1) of the Employee Retirement Income Security Act of 1974, as amended, ("ERISA")."

(Plan, Art. 1.1.)

Plaintiffs argue without evidence that the written document alone is insufficient, but Defendant provides additional evidence that it is required to and does transfer a set amount of funds by the fifth of each month and that those funds are paid to employees. (Chen Dec., ¶¶ 3-4, 6; Santa Cruz Dec., ¶¶ 3-4.) Defendant's Senior Manager of Payroll Ground Operations, Kelly Tran, also explains that Defendant uses "an automated tracker of employee sick leave time from which payroll draws data to determine the amount of sick leave benefits that are due." (Tran Dec., ¶ 4.) Defendant's system generates "finalized payroll information," and Ms. Tran states that "[f]or sick leave payments, Ms. Santa Cruz uses that information to arrange the movement of funds from the Sick Leave Trust to United's main bank account and then to the payroll accounts used to pay employees." (Ibid.)

Plaintiffs do not actually dispute these facts and instead provide legal argument and speculation in response or cite evidence that does not support their claimed grounds for dispute.

The Court notes that Plaintiffs' arguments about whether Defendant adequately complied with some of the procedural requirements of ERISA (i.e., Plaintiffs did not receive certain ERISA-mandated documents, or Plaintiffs did not consent to being in a VEBA Trust) fall outside the scope of what the Court must address in this motion. The fundamental question is whether Defendant's sick leave plan is an ERISA-covered plan and therefore exempt from complying with the Kin Care Law. The question is not whether Defendant has adequately followed specific procedural or technical requirements under ERISA of providing proper notice, properly enrolling employees, etc.

ERISA's reporting and disclosure provisions are codified at 29 U.S.C. §§ 1021-1031. These sections describe what information is to be furnished to participants and beneficiaries, what reports are to be filed with the Secretary of Labor, and describe various notices that must be given to participants in different scenarios (i.e., insufficient funds). None of these sections condition the existence or validity of a plan on whether an employer has complied with the requirements. The tests outlined by courts in caselaw for determining the existence of an ERISA-covered plan do not suggest that failure to comply with such reporting and disclosure requirements is dispositive of whether a plan falls under ERISA. (See e.g., *Dillingham*, *supra*, at 1372: "Once it is determined that ERISA covers a plan, the Act's fiduciary and reporting provisions do require the plan to be established pursuant to a written instrument, ERISA ss 102 and 402, 29 U.S.C. ss 1022 and 1102; but clearly these are only the responsibilities of administrators and fiduciaries of plans covered by ERISA and are not prerequisites to coverage under the Act.”)

<u>*Payroll practice exception*</u>

The *ALPA* court explained the payroll practice exclusion:

> However, a regulation of the Secretary of Labor excludes certain “ ‘payroll practice[s]’ ” from the application of ERISA. (*Bassiri v. Xerox Corp.* (9th Cir.2006) 463 F.3d 927, 929; see *Alaska Airlines v. Oregon Bureau of Labor* (9th Cir.1997) 122 F.3d 812, 812 (*Alaska Airlines*).) More specifically, the “payroll practices” exemption provides that an “ ‘employee welfare benefit plan’ ” for purposes of ERISA “shall not include ... [¶] ... [¶] ... Payment of an employee's *normal compensation, out of the employer's general assets,* on account of periods of time during which the employee is physically or mentally unable to perform his or her duties, or is otherwise absent for medical reasons....” (29 C.F.R. § 2510.3–1(b)(2) (2013), italics added.) Thus, the payroll practices exemption would apply if (1) the payment of sick leave benefits under the Plan qualifies as “normal compensation” *and* (2) the sick leave benefits are paid from United's general assets.

(*ALPA* at 716.) The court found that it was undisputed that both factors were met for the prior plan in question. (Ibid.)

However, the *ALPA* court’s analysis did not end there. The court noted that while the benefits passed through Defendant’s corporate account and were distributed with regular wages, “the Plan is funded by a valid Trust” which was “the sole source of funding for the Plan.” (Id. at 716.) The court found that “[p]ayment from a separate fund certainly militates towards finding an employee benefit plan within the meaning of ERISA.” (Ibid.) But the court noted that pursuant to *Alaska Airlines, supra*, “an employer must do more than create a separate fund for benefits payments to qualify for ERISA preemption; that separate fund must be *actually liable* for the benefits.” (Id. at 716-717, emphasis original.)

The *Alpa* court then turned to the Department of Labor’s (“DOL”) four-part test “for determining whether a separate trust to pay vacation benefits is an ‘employee welfare benefit plan’ under ERISA”: “(1) the trust must have a legal obligation to pay plan benefits; (2) the employer must have a legal obligation to make contributions to the trust; (3) the contributions must be actuarially determined or otherwise bear a relationship to the plan's accruing liability; and (4) the trust paying the benefits must be a bona fide separate trust.” (Id. at 717.) The *Alpa* court noted at this point that the lower court applied the four-part test and found that the Trust did not qualify as an ERISA plan “because United’s contributions were not actuarially determined and did not otherwise bear a resemblance to the original Plan’s accruing liability,” and “neither the original nor the revised Trust . . . was [] a bona fide separate trust under the law.” (Id. at 718.)

Plaintiffs here assert that Defendant’s sick leave plan is an ERISA-exempt payroll practice because the benefits were paid as regular wages and are indistinguishable from Defendant’s general assets because they pass through Defendant’s main bank account.

The Court agrees that the benefits are paid as part of employees' regular wages and they are technically paid out of Defendant's general assets. However, like the *ALPA* court, this Court's analysis does not end there. This Court likewise applies the DOL's four-part test and concludes that Defendant's Trust is an "employee welfare benefit plan" under ERISA.

Obligation to pay benefits

The first element of the test is that "the trust must have a legal obligation to pay plan benefits." (*ALPA* at 717; citing DOL, Advisory Opn. No.2004-08A (July 2, 2004) 2004 WL 2074325.)

Defendant provides evidence that the Trust has a legal obligation to pay benefits. (See SUF, ¶¶ 27-37; Plan, Arts. 8.1, 8.2; Trust, Arts. III-2(a)-(b), III-4.) Both the Plan and the Trust's terms dictate that sick leave benefits are to be paid solely by the Trust, and the documents set forth the specific procedure through which that directive is achieved. Plaintiffs fail to raise a valid factual dispute as to this evidence.

Trust-contribution obligation

The second element of the test is that "the employer must have a legal obligation to make contributions to the trust." (*ALPA* at 717; citing DOL, Advisory Opn. No.2004-08A (July 2, 2004) 2004 WL 2074325.)

Defendant provides evidence that it has a legal obligation to contribute to the Trust, and that the Trustee has the power to enforce this obligation, including through legal proceedings. (SUF, ¶¶ 33-37; Trust, Art. III-4, App'x A; Plan, Art. 8.1.) Plaintiffs fail to raise a valid factual dispute as to this evidence.

Trust-funding formula

In its decision, the *ALPA* court had before it Defendant's pre-2009 funding policy, which "forecasted the coming month's anticipated sick leave payments using historical trends, doubling it, and adding $1 million." (*ALPA* at 718.) It noted that the formula was never reduced to writing and was not known to Defendant's employees responsible for transferring funds from the Trust to the Plan. (Id. at 718-719.) It also stated that Defendant had engaged a consulting firm which found that the policy had " 'specious accuracy' and 'arbitrary monthly adjustments with very little logic . . . to them." (Id. at 719.)

The *Alpa* court noted that Congress's primary concern in enacting ERISA was "the mismanagement of funds accumulated to finance employee benefits and the failure to pay employees benefits from accumulated funds" and concluded that "[i]t stands to reason that one way of safeguarding against the mismanagement of funds is for the contributions to be actuarially determined or otherwise bear a relationship to the plan's accruing liability." (Ibid.) The *Alpa* court reasoned that "if the funding formula operated as United states it did (double forecast plus $1 million), it would seem to bear a relationship to the plan's accruing liability," but noted that "the record indicates that United did not always use the same period of time to determine the forecast and that the factors used in the forecast were not entirely clear." (Id. at 719-720.) As a result, the *Alpa* court concluded that the Trust "offered no real protection for employees' benefits" because "contributions to the original Trust did not bear a consistent relationship to the Plan's accruing liability." (Id. at 720.)

Defendant now provides evidence of its current formula, which takes an average based on the Trust's sick leave payments from the last 12 months. (Chen Dec., ¶ 3.) The formula factors in monthly fluctuation by doubling the standard deviation, adding it to the average monthly payment, and doubling that sum. (Ibid.) The amount calculated by the formula is the "Target Fund Balance," and Defendant funds the Trust on a monthly basis so that the Trust reaches that Target Fund Balance. (Id. at ¶ 4.) Defendant states that since its inception, the Trust has had tens of millions of dollars in excess of each month's sick leave obligations. (Id. at ¶¶ 5-9; Lounsbery Dec., ¶ 19.)

The Court finds that this formula satisfies the purpose of Congress in enacting ERISA as described by the *ALPA* court, and that Defendant has satisfied this factor of the four-part test. The funding formula has a clear relationship to the sick leave plan's liabilities, it is in a written form, and it is followed by Defendant on a monthly basis. Plaintiffs fail to provide authority that disputes the adequacy of the funding formula, and they fail to raise a valid factual dispute as to this evidence.

<u>*Trust's bona fides*</u>

The *ALPA* court began its analysis of the final factor of the DOL's four-part test with a review of the characteristics of grantor trusts and nongrantor trusts, noting that one of the main differences was that "grantors treated as trust owners are required under Internal Revenue Code Section 671 to include income, deductions, and credits attributable to the portion of the trust owned," but that "a nongrantor trust is a separate taxable entity distinct from the grantor and the trust beneficiaries" and "is taxed under the trust rules of Internal Revenue Code section 641." (*ALPA* at 720-721.) The *Alpa* court concluded that "it is undisputed that the trusts at issue are grantor trusts." (Id. at 721.) As a result, it found that there was a "clearly articulated federal interest in treating the assets . . . as part of United's general assets, and thus subject to the claims of United's creditors," putting the benefit plan "beyond the scope of ERISA" because it rendered employee's receipt of benefits dependent on Defendant's financial health. (Id. at 725-726.)

Defendant has now provided evidence that it established a Trust, managed by an independent party, and set up a funding formula that is calculated to keep more than enough assets to cover the benefits which the Trust is intended to pay out. (SUF, ¶¶ 42-45, 60, 66-67.) The Trust does not hold itself out as a grantor trust and states that Defendant does not legally own its assets, that the assets are not subject to its creditor's claims, and that Defendant holds no reversionary interest in the funds other than for mistake of fact. (SUF, ¶¶ 61-65; Trust, Arts. II-1, II-2, III-5, VI; Plan, Arts. 8.1-8.2.) Defendant provides evidence that it files "tax and ERISA-required notices" for the Plan/Trust including Form 5500 and separate tax returns. (SUF, ¶¶ 20, 21, 24; Mayes Dec., ¶ 4; Lounsbery Dec., ¶ 21, Ex. 12.) Defendant maintains statements of how much money enters and leaves the Trust and how much is deposited into Defendant's main bank account before being transferred to a payroll bank account. (Chen Dec., ¶¶ 6-9; Santa Cruz Dec., ¶¶ 3-6.) Plaintiffs again fail to raise a valid factual dispute.

The Court finds that Defendant has met its burden to demonstrate that the Trust is a bona fide separate trust.

<u>*Second, third and fourth causes of action*</u>

Plaintiffs' remaining causes of action stem from the same violation alleged in the first cause of action.

Plaintiffs' second cause of action for unfair business practices is based on the argument that Defendant's acts, policies, and practices as alleged in the action violate Labor Code §§ 233 and 234. (FAC, ¶ 55.) Plaintiffs do not assert another basis for this claim. (See id. at ¶¶ 52-63.)

Plaintiffs' third cause of action seeks declaratory relief as to several "controversies" between Plaintiffs and Defendant regarding whether Labor Code §§ 233 and 234 apply to Defendant, and whether Defendant has violated those sections. (Id. at ¶¶ 64-73.)

Plaintiffs' fourth cause of action pursuant to PAGA seeks penalties based on Defendant's alleged violation of Labor Code §§ 233 and 234. (Id. at ¶ 75.)

Having found that judgment should be granted in Defendant's favor as to the first cause of action, Plaintiffs' second, third, and fourth causes of action also fail. (See *Price v. Starbucks Corp.* (2011) 192 Cal. App. 4th 1136, 1147; *Krantz v. BT Visual Images, LLC* (2001) 89 Cal. App. 4th 164, 178; *Ball v. FleetBoston Financial Corp.* (2008) 164 Cal. App. 4th 794, 800.)

In conclusion, Defendant's motion for summary judgment is GRANTED on all causes of action in Plaintiffs' First Amended Complaint.

Judgment is therefore Ordered in favor of Defendant United Airlines, Inc. against Plaintiffs Kevin E. Bybee and John R. Scholz, III individually and on behalf of themselves and others similarly situated. As a result, all currently set future hearing dates are thus vacated due to this defense Judgment.

Any party who contests a tentative ruling must email Dept20@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to CRC Rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the CRC. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order **REPEATING VERBATIM** the tentative ruling" (emphasis added). The order should be <u>filed or e-filed only</u>, do not email or mail a hard copy to the Court.

2:00 PM
Line 2
24-CIV-06621 KRYSTA BEAM VS AJ TUTORING INC.

KRYSTA BEAM	SEUNG YANG
AJ TUTORING INC.	JOSUE R. APARICIO

Plaintiff's Motion for an Order Approving Settlement of Claims Brought Pursuant to the Private Attorneys General Act of 2004

TENTATIVE RULING:

The parties are to APPEAR (Zoom allowed, Courtroom L) for the hearing on Plaintiff Krysta Beam's ("Plaintiff") Motion for Approval of PAGA Settlement.

According to the motion, it is estimated that there are approximately 506 aggrieved employees who worked 15,500 pay periods. The proposed settlement amount is $400,000. The settlement will provide a payment of $145,434.49 to the California Labor and Workforce Development Agency (i.e., 75% of the $223,745.37 Net Settlement Amount). The remaining $78,310.88 shall be distributed amongst the aggrieved employees.

In ruling on PAGA settlements, this court has a duty to independently determine whether a settlement is fair, reasonable and adequate. (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76 77, disapproved of on other grounds by *Turrieta v. Lyft, Inc.* (2024) 16 Cal.5th 66 ["trial court should evaluate a PAGA settlement to determine whether it is fair, reasonable, and adequate in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws."]; *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 129 [" 'The court has a fiduciary responsibility as guardians of the rights of the absentee class members when deciding whether to approve a settlement agreement.' "]; *In re Microsoft I-V Cases* (2006) 135 Cal.App.4th 706, 723.)

Plaintiff's counsel The Sentinel Firm, APC requests fees of $133,333.33 but failed to provide sufficient information for the Court to perform a lodestar cross-check.

"Courts often cross-check fee awards using both methods: i.e., a lodestar approach as compared to a percentage of the common fund approach. [*In re Consumer Privacy Cases* (2009) 175 CA4th 545, 557, 96 CR3d 127, 136; *Laffitte v. Robert Half Int'l Inc.* (2016) 1 C5th 480, 504, 205 CR3d 555, 574—lodestar cross-check provides a mechanism for bringing objective measure of the work performed into the calculation of reasonable attorney fee; *In re Apple Inc. Device Performance Litig.* (9th Cir. 2022) 50 F4th 769, 784—although cross-check is discretionary, federal courts are encouraged to cross-check fee awards using both methods, particularly when using percentage-of-recovery method]. In cross-checking, courts are not required to scrutinize hours as closely as in a traditional lodestar calculation, but may use 'counsel declarations summarizing overall time spent, rather than demanding and scrutinizing daily time sheets in which the work performed was broken down by individual task.' [*Laffitte v. Robert Half Int'l Inc.*, *supra*, 1 C5th at 505, 205 CR3d at 574]." (Weil & Brown, Cal. Prac. Guide: Civ. Proc. Before Trial (Rutter, June 2026 Update), at ¶ 14:145.2a)

Tiffany Hyun of the Sentinel Firm states that her firm billed 142.6 hours of work and used a blended rate of $800/hour to calculate a lodestar of $114,080. (Hyun Dec., ¶ 35.) Ms. Hyun states that seven different attorneys worked on this matter but only provides typical hourly rate information for four of the attorneys. (Id. at ¶ 32.) Counsel also provides a task and time summary but does not provide estimates of how many hours each attorney worked. The Court requests this information in order to determine the reasonableness of the requested blended rate.

Ms. Hyun estimates that she will spend another 5 hours on this matter, resulting in an additional $3,000 billed and a total lodestar of $117,080. (Hyun Dec., ¶ 36.) Contrary to what Plaintiff's motion states, this is less than the requested attorneys' fees, therefore Plaintiff's counsel must request a lodestar multiplier and should provide information justifying the multiplier. Alternatively, if Plaintiff submits on this tentative, then the Court will award attorney's fees of $117,080.

Weil & Brown states that "[o]nce the court has fixed the lodestar, it may increase or decrease that amount by applying a positive or negative 'multiplier' to take into account a variety of other factors, including:

— the quality of the representation;
— the novelty and complexity of the issues;
— the results obtained; and
— the contingent risk presented. [*PLCM Group, Inc. v. Drexler* (2000) 22 C4th 1084, 1096, 95 CR2d 198, 206-207; *Thayer v. Wells Fargo Bank, N.A.* (2001) 92 CA4th 819, 833, 112 CR2d 284, 293; *Laffitte v. Robert Half Int'l Inc.* (2016) 1 C5th 480, 489, 205 CR3d 555, 561]

(Weil & Brown, *supra*, ¶ 14:145.1.)

Plaintiff's requested costs of $27,171.30 include $17,000 spent on a mediator. The Court observes that this appears to be the entire mediator's fee, and notes that the mediator's fee is typically split between Plaintiff's counsel and Defense counsel. At the hearing, parties to address the total cost of the Mediator as the Court is inclined to only award half of the mediation cost.

The Court otherwise finds that the settlement amount is fair, reasonable and adequate in view of PAGA's purposes based on the relative strengths and weaknesses of Plaintiff's claims, Defendant's defenses, and the risks inherent to litigation as described by Plaintiff's counsel Ms. Hyun. (Hyun Dec., ¶¶ 15-27.) The Court also approves the proposed notice.

The parties participated in a full-day mediation session with Steven J. Rottman, Esq. on October 21, 2025. Ms. Hyun provides a declaration describing the firm's experience and qualifications to serve as Class Counsel. (Hyun Dec., ¶ 32.) The Court finds that Plaintiff's counsel is adequately qualified.

Plaintiff has provided notice to the Labor Workforce Development Agency (LWDA) of the settlement as required by Labor Code section 2699, subdivision (s)(2)). (Hyun Dec., ¶ 3, Ex. 2.)

The Court finds Phoenix Class Action Administration Solutions ("Phoenix") is an experienced third-party claims administrator (Lawrence Dec., ¶¶ 5-11) and approves its retention. The Court finds a reimbursement of $5,750 to Phoenix reasonable and necessary.

The Court awards Plaintiff with a service award of $7,500.00. The Court finds that this is reasonable based on Plaintiff's description of her contributions to the case, the fact that Plaintiff did not participate in formal discovery, and the potential average individual award for each aggrieved employee.

Plaintiff's counsel to prepare an Order after hearing that is consistent with any modifications discussed at the hearing on the questions raised above.

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If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to CRC Rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the CRC. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order **REPEATING VERBATIM** the tentative ruling" (emphasis added). The order should be <u>filed or e-filed only</u>, do not email or mail a hard copy to the Court.